HAZVIRWADZE MARGARETH NYAMASOKA
versus
INNBUCKS MICROBANK LIMITED

HIGHCOURT OF ZIMBABWE
TAKUVA AND CHIKOWERO JJ
HARARE; 22 January and 18 May 2026

Civil Appeal

K F Chipudya, for the appellant
P Tarirai, for the respondent

CHIKOWERO J:

INTRODUCTION

[1] This is an appeal from the judgment of the Magistrates Court sitting at Harare in terms whereof the appellant was ordered to pay to the respondent the sum of US$10 869-90 being the outstanding balance of money lent and advanced to her by respondent plus interest and costs on the legal practitioner and client scale.

FACTUAL BACKGROUND

[2] The appellant is a director of a private limited company called Afrinova Investments (Pvt) Ltd. The same is domiciled in this country.

[3] The respondent is a private limited company registered in terms of the laws of this country. Its business includes lending money to both individuals and corporate entities.

[4] In June and August 2023 the parties entered into two written loan agreements in terms of which the respondent lent and advanced to the appellant the sums of US$10 000 and US45000 respectively. The detailed terms of the loan agreements were not in issue at the trial.

[5] The dispute centred on whether the appellant had repaid the loan in full. She contended that she had done so on the basis that some three payments made by her were in discharge of her

loan obligations whereas the respondent took the position that those payments serviced a loan account held by Afrinova Investments (Pvt) Ltd's employees with the respondent.

[6] The three payments were made on 2 April 2024, 3 April 2024 and 3 June 2024 in the sums of US$6 000, US$3 580 and US$1 000 respectively.

[7] The respondent led evidence from one Paul Matsinhise and closed its case. He was the respondent's Recovery Officer.

[8] The appellant testified and closed her case.

[9] After a consideration of the oral and documentary evidence placed before it, the lower court found for the respondent. The decision has been appealed on three grounds.

THE GROUNDS OF APPEAL

[10] They read:

> "1. The court *a quo* erred at law and grossly misdirected itself in concluding that payments made by applicant from her bank account totalling the sum of US$10 580 were not repayment of her personal loan with respondent.
>
> 2. The learned Magistrate *a quo* erred at law in holding that a representative of Afrinova would have assisted the court to ascertain the purpose of the payments made from appellant's bank account yet appellant who is a director of Afrinova Investments Private Limited had clearly explained same.
>
> 3. The court *a quo* erred at law in awarding respondent punitive costs without giving reasons and also under circumstances where same were not warranted as respondent had made a claim which exceeds the outstanding loan debt thus entitling appellant to her defence."

THE DISPOSITION

[11] We deal with the grounds of appeal in reverse order.

[12] Although the lower court did not give reasons in the judgment for ordering costs on a punitive scale it correctly adverted to the reason in commenting on the third ground of appeal. Clause 15 of both loan agreements provided for costs on the legal practitioner and client scale in the event of default in servicing the loan accounts and resort to litigation by the respondent to recover the outstanding amount. In any event, the existence and import of clause 15 was brought to the attention of the appellant both at the time of signing of the loan agreements and at the trial.

The legal implication of that clause was never in issue. The third ground of appeal is without merit.

[13] The second is not a ground of appeal. It does not allege any finding of fact with which the appellant is aggrieved by. Instead, it is in the nature of heads of argument regard being had to the fact it questions the soundness of one of the lines of reasoning adopted by the lower court in making the finding of fact attacked in the first ground of appeal. Both in heads of argument and oral submissions before us Mr Chipudya, for the appellant, did not motivate what stands in the notice of appeal as the second ground of appeal. We proceed on the basis that the said "ground of appeal" was abandoned. Nothing further need be said about it.

[14] An appellate court can interfere with a factual finding if satisfied that such a finding is irrational. The test for irrationality is well settled in this jurisdiction. We can do no better than echo the words of the court in *PF ZAPU* v *Minister of Justice, Legal and Parliamentary Affairs* (2) 1985(1) ZLR 305(S) at 326E-F:

> "…As a general rule of law, as regards irrationality, an appellant court will not interfere with a decision of a trial court based purely on a finding of fact unless it is satisfied that, having regard to the evidence placed before the trial court, the finding complained of is so outrageous in its defiance of logic or of accepted moral standards that no sensible person who had applied his mind to the question to be decided could have arrived at such a conclusion."

See also *Hama* v *National Railways of Zimbabwe* 1996(1) ZLR 664(S), *ZINWA* v *Mwoyounotsva* 2015(1) ZLR 935(S) at 940E-F, *Mbatha* v *National Foods (Private) Limited CCZ* 14/20, *Mutsure* v *State SC* 62/21 and *Musimuke* v *State SC* 104/22.

[15] As regards the US$6000 payment referred to at para 6 of this judgment the respondent's sole witness conceded under cross-examination that the same was allocated by the respondent to the appellant's loan account. That evidence accords not only with the appellant's *viva voce* evidence that she made that payment towards liquidating her personal loan account but is borne out by the written proof of payment produced at the trial. The computer generated proof of deposit issued by Stanbic Bank reads in relevant part:

> "from
>
> NYAMASOKA

Date

April 2, 2024

Beneficiary Address

Harare

My Reference

AFRINOVA EMPLOYEE LOANS

Their Reference

AFRINOVA EMPLOYEE LOANS"

The lower court misdirected itself in fact in not having regard to the concession in determining the purpose of the payment in question. It further misdirected itself in overlooking the fact that the documentary evidence *vis-à-vis* the US$6000 payment was consistent not only with the appellant's oral testimony but also the concession made by the respondent's witness. What this means is that the respondent's statement of account, also produced at the trial, was in error in not crediting the US$6000 to the appellant. We will therefore allow the appeal in part and interfere with the judgment *a quo* to this extent.

[16] However, we perceive of no irrationality in the factual finding that the US$3580 payment was effected by the appellant to the credit of the Afrinova Employees loan account. That is what the respondent's witness said. The documentary evidence corroborated his *viva voce* evidence. In *pari materia*, the Stanbic Bank computer generated proof of payment reads:

"from

NYAMASOKA

Date

April 3, 2024

Beneficiary Address

Harare

My reference

AFRINOVA EMPLOYEES

LOAN

Their Reference

AFRINOVA EMPLOYEES

LOAN."

The appellant was a director of Afrinova Investments (Pvt) Ltd. There is no evidence on record to suggest that she was precluded from appearing at the bank to effect a loan repayment on behalf of the employees. The source of the funds is immaterial.

[17] Similarly, that the appellant appeared at the bank on 3 June 2024 to deposit the sum of US$1000 in favour of the respondent is not proof that she was liquidating her loan account. The deposit slip is hardly legible, but it shows the account name into which the money was deposited as "Afrinova Invn." That is not the appellant. There is nothing grossly outrageous in the factual finding made *a quo* that the US$1000 was not made to liquidate the appellant's loan obligations to the respondent.

ORDER

[18] IT IS ORDERED THAT:

1. The appeal is allowed in part.

2. Paragraph 1 of the judgment of the lower court is altered to read:

"1. Defendant shall pay the plaintiff the sum of US$4869"

3. In all other respects the appeal is dismissed with costs.

CHIKOWERO J:…….

TAKUVA J……..I agree

Hamunakwadi and Nyandoro, appellant's legal practitioners
Chimwamurombe Legal Practitioners, respondent's legal practitioners